Chapter 10
Globalization as a Driver of Prosperity

The mechanisms and drivers behind developments in geopolitics go hand in hand with the changes we are seeing in globalization. The perceived threat of a rising Global South or China as an individual actor in a geopolitical sense has in part prompted much of the developed world to back away from traditional globalization and pursue policies of reshoring, friend-shoring, and diversification, or, in more severe cases, precautionism, protectionism, or even outright sanctions.

These developments have the potential to cause irreparable damage to the system of globalization that has resulted in the prosperity that the world has enjoyed post-WWII. Whether in the form of the Marshall Plan instituted by the United States to rebuild war-torn nations in the 1950s, the creation of the General Agreement on Trade and Tariffs, which later evolved into the World Trade Organization and laid the foundation for China's meteoric rise, or new innovations like China's own Belt and Road Initiative, globalization has been a net positive for the world.

As we enter a new era, globalization isn't something that we should back away from, it is something we should continue to embrace, albeit in a new and more equitable form. Globalization can continue to be a driver of prosperity not only for developing nations, which have and continue to benefit from open markets and liberal trade policies, it can also bring new opportunities for developed economies.

In this, the first chapter of the third part of this book, we will briefly explore the current reality of this phase of globalization, its continued potential and the positive impact it can have, as well as some practical steps that we can take in moving forward.

The first article in this chapter, "Globalization Isn't Dead, It's Just Not American Anymore," sets the tone for the entire section. Far from proclaiming America's downfall, the focus is placed on how the United States is no longer the only driver of globalization and global prosperity. From trade to finance to culture and to commercial brands, an increasing number of new names and new countries are now in the running with previously globally dominant brands.

The next article focuses on how economies and international trade can continue to make a positive contribution to a stable and peaceful world. In international "The

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Positive Role of Trade in World Peace, Stability and Prosperity," we examine how, in a world that seems to be descending into conflict and rivalries, trade can continue to play a positive role. In releiving the tensions that plague so much of the world.

The final article in this chapter provides some practical next steps to salvage and guide global trade in a new direction that maintains the current momentum of globalization and its positive contributions to stability and peace. Titled "To Save Global Trade, Start Small," starting by tackling intellectual property issues and the process of reviving the WTO's dispute settlement mechanism so that this core institution of global trade can once again serve its intended role.

Globalization Isn't Dead, It's Just Not American Anymore[1]

Trade, investment, and technological links between nations are growing and they are less mediated by Hollywood, silicon valley, and Washington than ever before, but the rise and export *of soft power in the form of brands and culture from other corners of the world mean they are still thriving.*

First, it was the financial crisis. Then Brexit and the election of former US President Donald Trump. Next came a trade war and a pandemic. The war in Ukraine is only the latest event to trigger a wave of claims that globalization is dead.

Since the Russian invasion began, everyone from newspaper columnists to Wall Street luminaries such as BlackRock Inc. Chairman Laurence Fink and Oaktree Capital Group co-founder Howard Marks have decided that the era of expanding global trade and financial ties has ended. Yet such claims don't match the empirical reality many of us see, especially in Asia.

On the contrary, it seems that our world is only becoming more interconnected. Last year, global trade hit a record $28.5 trillion, up 25% year-on-year and 13% higher than in 2019, before the pandemic struck. For all the talk of decoupling, US-China trade swelled more than 20% last year, to $687.2 billion. Even with war in Ukraine, global trade is forecast to grow in 2022, albeit at a slower pace.

Cross-border investment also surpassed pre-pandemic levels last year, swelling to $1.65 trillion. China, in particular, is more integrated into the global economy than ever. In 2021, its foreign direct investment inflows rose by a third to an all-time high of $334 billion. In the first quarter of this year, they grew by more than 25% year-on-year.

Travel has been slower to recover and international trade as a proportion of global GDP has fallen since its peak in 2008. Yet, globalization is continuously evolving and surging forward in non-physical dimensions.

Monthly global data traffic soared during the pandemic and is forecast to reach 780 exabytes by 2026, up more than three-fold compared to 2020. Half a million new people are connected to the Internet each day.

We are more immersed in a global sphere of images and ideas than ever. Billions are watching what *The New Yorker* has dubbed "the first TikTok war" unfold via satellite images and livestreams from civilians and soldiers. Ukrainian President Volodymyr Zelenskiy has harnessed the technologies of digital globalization, captivating the world with selfie videos and addressing multiple national parliaments by Zoom, something that would have been difficult to imagine before the pandemic.

Why then do so many pundits still think globalization is dying? In part, they appear to be fixated on a particular set of US-centric neoliberal ideas about globalization that prevailed after the Cold War.

One central belief is what *The New York Times* columnist David Brooks calls "convergence globalization"—the idea that as countries became more globalized and developed, they would become "more like us in the West."

[1] First published on May 7, 2022 by Bloomberg and revised for this collection.

In reality, as scholars Heather Berry, Mauro F. Guillén, and Arun S. Hendi report in a study cited by Brooks, "Over the last half century, nation-states in the global system have not evolved significantly closer (or more similar) to one another along a number of dimensions." Globalization has not led to Americanization.

To the contrary, globalization is becoming less American and more, well, global.

While the United States was at the helm of global trade before 2000, today two-thirds of countries trade more with China. Since Trump turned his back on the Trans-Pacific Partnership free-trade pact and the World Trade Organization, the locus of multilateral trade liberalization has shifted to Asia.

In global finance, while the dollar still reigns supreme, its share in global currency reserves fell from 70% in 2000 to 59% in 2020. Sanctions are accelerating efforts by Russia and other countries to develop alternatives to the US dollar and the SWIFT interbank messaging system.

In the cultural sphere, American pop culture faces increasing competition from alternatives such as Bollywood, K-pop, and Turkish soap operas. Last year, the top-selling musical act (BTS) and most popular show on Netflix (Squid Game) were South Korean, while the world's most downloaded app (TikTok) and biggest fashion retailer (Shein) were Chinese. Thus, while global flows continue to grow, they are relatively less mediated by Washington, Wall Street, and Hollywood.

The second neoliberal assumption about globalization shattered by the war in Ukraine is the belief that market liberalization would launch a virtuous circle of peace, prosperity, and openness, entwining the economic interests of states until conflict between them became unthinkable.

This idea is not completely wrong. But it fails to recognize that connectivity is a double-edged sword and that people care about things other than money.

As Mark Leonard writes in *The Age of Unpeace*, it is increasingly clear that connections that have knit the world together—from trade to migration, global finance, and the internet—can also be weaponized and become a source of conflict.

Around the world, governments are paying more attention to how globalization can threaten national security, citizens' interests, and the environment. To mitigate these risks and make globalization more palatable, many are shifting away from Washington-style laissez-faire policies to a more hands-on approach of "managed globalization."

The European Union is a pioneer in this regard, adopting new rules on cross-border flows such as its General Data Protection Regulation and the forthcoming carbon border adjustment tax. China's "dual circulation" model can be seen as a form of managed globalization that seeks to harness its benefits while reducing exposure to external uncertainty. Even the United States is pushing for more proactive measures to manage transnational flows, such as a global minimum tax on multinationals.

This heralds a more measured approach to globalization that takes long-term resilience and political realities into account, not a wholesale retreat to autarchy. We have entered a phase of global integration driven by new forces, one that will be more diverse and more managed than the one that came before. And that needn't be a bad thing.

The Positive Role of Trade in World Peace, Stability, and Prosperity[2]

As the world seems to move towards a more militaristic and confrontational future, it is important to emphasize the positive impact trade can have on stability and peace.

As of the writing of this article, the war between Russia and Ukraine has lasted for more than a month. According to the United Nations, as of March 30th, the war has caused over 4 million Ukrainian refugees to flee their homeland, and as of April 1st, at least 1,276 Ukrainian civilians were known to have died and 1,981 were injured. Europe faces its largest influx of refugees since World War II. Not only have global energy resources and trade activities been impacted, European security and the international system formed after World War II have also been challenged. At one point, Russia even indicated it could use nuclear weapons if its survival was threatened.

The ongoing COVID-19 pandemic together with the Russia-Ukraine war has brought the human race face to face with a new Bretton Woods moment. We need to think about how humanity has maintained peace for the past 77 years and why it has come to the edge of world war again.

The Bretton Woods Conference, held in July 1944, established international institutions like the International Monetary Fund and the International Bank for Reconstruction and Development (predecessor of the World Bank) to manage the international monetary system, which promoted the construction of a new post-war international monetary system. For decades, the global economic landscape developed based on the Bretton Woods system, including the General Agreement on Tariffs and Trade and now the World Trade Organization, has contributed to a virtuous cycle of openness, trade, prosperity, and stability. Global trade has become the greatest stabilizer of world peace since World War II.

At the end of World War II, trade accounted for merely 5 percent of global GDP. Global foreign direct investment increased eight-fold from 1950 to 1970. By the end of the previous century, total global import and export trade accounted for 50 percent of global GDP. In 1950, global import and export trade totaled $61 billion, while total global trade reached a record $28.5 trillion in 2021, an increase of as much as 466 times.

In recent years, however, the role of international military alliances increased as the international power landscape evolved. For example, NATO has expanded eastward five times, while the United States probably wants to create a smaller version of NATO in Asia through multilateral military alliances with Japan, South Korea, Australia, and India. This is in addition to the security pact "AUKUS" that has already been established by the United States, the United Kingdom, and Australia. The outbreak of the Russia-Ukraine war shows the increased danger of confrontation with military alliances, which could cause a new arms race due to isolation and suspicion, leading

[2] First published on April 3, 2022 by CGTN and revised for this collection.

to accidental conflicts or regional conflicts that threaten security and stability. The world needs to continue to foster the prosperity and development that had been achieved through institutions like the World Trade Organization, the International Monetary Fund, the World Bank, the AIIB, and others.

Economic globalization remains a major trend in world development. In the future, avoiding new regional and world wars means relying on economic alliances rather than military alliances. Economic cooperation and regional alliances, as a manifestation of economic globalization, are more aligned with the interests and needs of global development and more sustainable in the long run. These alliances create larger interconnected markets that complement regional advantages, provide mutual benefit, enhance regional prosperity and development, and encourage friendly exchanges and cooperation.

In recent years, China embraced an even more open attitude to the world, expanding the circle of its trade and achieving rapid development. Part of this has been the China-led Belt and Road Initiative, the Asian Infrastructure Investment Bank, and the China-Africa Cooperation Forum. China also joined the Infrastructure Regional Comprehensive Economic Partnership Agreement, signed the China-Europe Investment Agreement, and applied to join the Comprehensive and Progressive Trans-Pacific Partnership Agreement as well as the Digital Economy Partnership Agreement. China is currently the largest trading partner for over 130 countries. By deepening international economic and trade cooperation and aligning with international rules, China has released more potential and cooperated with other countries to create mutual benefit, and link its own prospects with those of other countries around the world, which has succeeded in creating goodwill and trust.

There is a lot of room for cooperation between China and the United States. Given the major role the United States and Europe have taken in the Russia-Ukraine war, China's potential role as a neutral mediator stands out. Chinese President Xi Jinping has expressed his willingness to provide further humanitarian assistance and called on all parties to work together to support dialogue and negotiations between Russia and Ukraine. In this regard, China could seek to form a multiparty talk mechanism including the five permanent members of the UN Security Council, Ukraine, and the EU within the UN framework, and facilitate a ceasefire between the two sides. This would ultimately bring stability back to Europe and reduce the potential for a return of instability after the ceasefire.

Other global areas in which there is room for cooperation include infrastructure, climate, and carbon neutrality. China and the United States should work together with countries from around the world to strengthen the alignment of development projects and enhance the linkage of economic interests. These parties should work together to promote infrastructure initiatives like the BRI, Build Back Better World, and the EU's Global Gateway, strengthen third-party market cooperation, and cooperate in developing infrastructure, especially in developing countries. The Asian Infrastructure Investment Bank should consider taking the lead and work with the World Bank, Asian Development Bank, European Bank for Reconstruction and Development, European Investment Bank, Islamic Development Bank, African Development Bank, and Inter-American Development Bank to build a global infrastructure investment bank alliance to concentrate on infrastructure and climate change.

In the Indo-Pacific region, the United States is working to create a four-nation alliance comprising the United States, Japan, India, and Australia—the Quad—which India stressed is meant to enhance economic cooperation. In this regard, while strengthening trade and cooperation between China and India, it is also possible for China and the United States to do the same in the Asia-Pacific region. Under the right conditions, there could be an economic mechanism, including China, through which all parties could cooperate on regional economic development and trade to expand the space for cooperation and enhance mutual understanding and trust.

The world is becoming increasingly unstable, uncertain, and insecure. Throughout history, military alliances and confrontations have brought unrest and humanitarian disasters, while economic cooperation and alliances have been proven to bring integration, development, mutual trust, and goodwill. Given the rising distrust among the major powers, perhaps China, the United States, and the countries of Europe, Asia, Africa, and Latin America should consider revising the rules of global economic governance, enhancing multilateral economic and trade cooperation and playing more positive roles in trade to ensure peace, stability, and prosperity.

To Save Global Trade, Start Small[3]

As we seek ways to extend the benefits of globalization, one practical option is encouraging participation by as many parties as possible to combat the damage of reshoring and precautionism.

The global economy is being rocked by war, sanctions, and spiraling commodity prices—not to mention the ongoing strain of the pandemic, geopolitical tensions, and climate change. These compounding risks present a serious challenge to the system of open trade that the World Trade Organization was designed to uphold. But it also offers a chance for the beleaguered organization, which is holding its first ministerial conference since 2017, to prove its continuing relevance.

The WTO has traditionally focused on combating protectionism—measures designed to insulate producers from international competition. Now, though, the biggest threats to free trade come from policies meant to safeguard national security and protect citizens from risks, such as those related to health, the environment, or digital spaces.

Former WTO Director-General Pascal Lamy has called this growing use of export controls, cybersecurity laws, investment blacklists, reshoring incentives, and the like "precautionism." It's been on the rise since the start of the pandemic, when many countries moved to restrict exports of medical supplies and other essentials. COVID-19 has also raised concerns about the vulnerability of supply chains, particularly those dependent on geopolitical rivals.

The world's two biggest trading nations, the United States and China, have both engaged in precautionism. The United States is actively pursuing a policy of "friend-shoring"—shifting trade flows from potentially hostile countries to friendlier ones. China's "dual circulation" strategy aims in part to reduce dependence on foreign imports, especially technology, while its government has long imposed limits on data flows in and out of the country.

With Russia's invasion of Ukraine, the momentum toward friend-shoring has grown. Meanwhile, food shortages and surging prices have triggered another round of precautionary measures: Since the war began, 63 countries have imposed more than 100 export restrictions on fertilizer and foodstuffs.

While the impulse driving such policies is understandable, the trend could cause great harm if allowed to run unchecked. It will increase inflation and depress global growth, especially if it involves costly redeployment of supply chains away from efficient producers such as China. A recent WTO study estimated that decoupling the global economy into "Western" and "Eastern" blocs would wipe out nearly 5% in output, the equivalent of $4 trillion.

As a recent study by the International Monetary Fund points out, the way to make global value chains more resilient is to diversify, not dismantle them. Turning away from open trade will only make states more vulnerable to economic shocks such as war, disease, or crop failures.

[3] First published on June 13, 2022 by Bloomberg and revised for this collection.

The WTO is an obvious vehicle to rally collective action on these issues. However, like other global institutions, it has been weakened by years of deadlock. At this week's meeting, countries should start to build positive momentum with some small but symbolically significant breakthroughs to show the WTO can still mobilize joint action.

Given current threats to food security, at the very least, members should one word programme agree not to restrict exports of foodstuffs purchased for the World Food Programme. A step further would be a joint statement calling on members to keep trade in food and agricultural products open and avoid imposing unjustified export restrictions. There should also be closer coordination to smooth supply chains and unclog logistics channels.

Another low-hanging fruit is finally securing a waiver covering intellectual property rights for COVID-19-related products. This proposal has languished for over 18 months but has now been redrafted to address concerns from the United States and European Union. Signing it would go some way to expanding global access to vaccines, which are still sorely needed in many parts of the world.

Beyond this week, the WTO secretariat and members need to develop a work program to reform the organization. This should include developing a framework to ensure that if states do take precautionary measures, they do so in a transparent, rules-based manner that does not slide into more harmful forms of protectionism.

Reviving the WTO's defunct dispute settlement mechanism is a clear priority. Twenty-five members have agreed to an interim arrangement that would function in a similar way. More members should join this agreement, ideally including the United States, and start negotiating the full restoration of a binding mechanism. They should also set clear criteria for carveouts for legitimate precautionary measures related to national security, healthcare, and environmental issues.

No one should expect big breakthroughs in Geneva. But practical agreements on immediate priorities such as food security and vaccines would at least help to reassert the WTO's relevance and show that the world's trading partners are not simply going to give up on multilateralism. At this dangerous moment, even small victories are welcome.